The Aliya Money Checklist

A money checklist for Americans planning Aliya, organized by time horizon

Many Aliya money decisions work best when started early. This checklist is organized by time horizon. Each item is something to review, organize, or plan, often with a qualified professional such as a cross-border CPA, Israeli counsel, or a US investment adviser. Rules change, and every family's situation is different.

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1. Planning a Move in the Future (Several Years Out)

- [ ] **Saving and investing with the move in mind.** A target move date, expected costs, and how much cash may be needed around the move can shape how savings are invested today.
- [ ] **Which accounts to favor for new savings.** Retirement accounts, Roth accounts, and taxable accounts may be treated differently in Israel than in the US. Tax-free treatment in the US does not automatically mean the same treatment in Israel. A topic to review with a cross-border CPA before deciding where new savings go.
- [ ] **Investments that travel well.** Some US firms limit buying certain investments, including some mutual funds, for clients living abroad. Building a portfolio with life abroad in mind can mean fewer forced changes later. Restrictions vary by firm and by country of residence.
- [ ] **Building a shekel reserve over time.** Many olim earn or hold dollars while spending in shekels. Gradually setting aside funds for expected shekel expenses (rent, tuition, daily costs) is worth planning ahead. Rate swings between the shekel and dollar can change purchasing power, and currency hedging has costs and may not prevent losses.
- [ ] **Records and cost basis.** Keeping tax returns, account statements, and cost basis records organized from the start makes future cross-border filing and decisions about selling easier.
- [ ] **Insurance while still in the US.** Some US life insurance policies have rules or limits for policyholders living abroad, and coverage may be harder to arrange after a move. Worth reviewing existing and needed coverage while still a US resident.
- [ ] **Estate basics.** Current wills, beneficiary designations, and guardianship choices are worth keeping up to date now.
- [ ] **Starting conversations with professionals early.** A cross-border CPA, Israeli counsel, and a US investment adviser can flag issues while there are more options and more time to act.

2. About a Year Out

- [ ] **Account address policies.** Some US banks and brokerages restrict, limit, or close accounts once the account holder has a non-US address. Worth confirming each institution's policy well before the move.
- [ ] **Account consolidation.** Fewer accounts can mean simpler tracking, reporting, and paperwork across two countries.

- [ ] **Continuing US tax obligations.** US citizens generally continue to file US tax returns no matter where they live, and moving to Israel does not end that obligation. Some US states may also continue to treat a former resident as a resident depending on ties left behind. Worth confirming with a CPA.
- [ ] **Benefits for new olim.** Israel has offered tax benefits to new immigrants, including treatment of certain foreign-source income. These rules have changed in recent years, so current eligibility and reporting requirements are worth confirming with Israeli counsel or an Israeli CPA.
- [ ] **The US-Israel tax treaty and timing of sales.** The treaty and foreign tax credits can affect how income is taxed in each country, and the timing of selling investments, a home, or a business around the move date can affect taxes in both. A topic to raise with US and Israeli tax professionals before acting.
- [ ] **Retirement accounts and pensions.** Options for existing 401(k) and IRA accounts, and how withdrawals may be taxed in each country, are worth reviewing, along with any employer plan rules for participants living abroad.
- [ ] **Funding a home purchase.** Options for a down payment can include selling investments, using cash, an Israeli mortgage, or borrowing against an investment portfolio. Each has different tax, cost, and risk implications, and how a sale, a loan, or interest is treated in the US and Israel is a question for a cross-border CPA.
- [ ] **Understanding portfolio-based lending.** Borrowing against a portfolio instead of selling may avoid realizing gains at that moment, but it carries real risks: if the portfolio declines, the amount available can shrink, the lender can demand more collateral, and margin lending can force a sale of securities at an unfavorable time. Some brokers, including Interactive Brokers, can sell securities automatically and without notice. Losses can exceed the amount invested, and interest costs reduce returns. Borrowing defers taxes on gains; it does not eliminate them. Interest rates can also change.

3. In the Final Months Before the Move

- [ ] **Online access and two-factor login.** Many accounts send security codes to a US phone number. A plan for keeping access to codes and logins from Israel avoids being locked out.
- [ ] **A US mailing address.** Some institutions require a US address for statements or account maintenance. Options and their implications are worth reviewing.
- [ ] **Beneficiaries and powers of attorney.** Beneficiaries on retirement accounts, insurance, and brokerage accounts are worth a final review. A trusted person able to act on US accounts can be valuable when living abroad.
- [ ] **Health coverage during the transition.** Gaps between US coverage ending and Israeli coverage starting are worth planning for.
- [ ] **Emergency cash.** An accessible emergency reserve, in an appropriate mix of currencies, helps cover the unexpected during the transition.
- [ ] **Social Security records.** Benefits can generally be paid to eligible US citizens living in Israel. Worth checking the Social Security Administration's guidance on receiving payments abroad and reviewing earnings records at ssa.gov.
- [ ] **A portable record set.** Secure, accessible copies of tax returns, account statements, cost basis records, and key documents make the first cross-border filings easier.

4. The First Months After Arriving

- [ ] **FBAR and FATCA awareness.** US persons with foreign financial accounts above certain thresholds may need to file an FBAR (FinCEN Form 114), and separate FATCA reporting (Form 8938) may apply to foreign financial assets. Israeli bank and investment accounts can count. A cross-border CPA can confirm what applies.
- [ ] **Investing through an Israeli account.** Many non-US funds can trigger complex and costly US tax treatment for US taxpayers. Worth reviewing with a cross-border CPA before investing through an Israeli account.
- [ ] **Moving money between currencies.** Banks and transfer services can differ significantly in exchange rates and fees. Comparing the total cost of moving money is worth doing before each transfer.
- [ ] **Estate documents in two countries.** Documents drafted for one country may not work as intended in another. A topic to review with US and Israeli counsel once residency is established.
- [ ] **Revisiting the overall plan.** Actual living costs and currency needs often differ from projections. A review of the investment plan and cash reserves helps keep it aligned with life in Israel.

Next Step

Aliya Financial LLC is a fee-based investment adviser that manages US investment accounts for people preparing to move to Israel, and coordinates with their CPAs and attorneys.

Request a free consultation at aliyafinancial.com

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